

After the instant motion to stay was filed, the United States Court of Appeals for the Ninth Circuit, on December 11, 2025, affirmed the district court’s contempt finding, affirmed in part and reversed in part the contempt remedies, and remanded. (*Epic Games, Inc. v. Apple Inc.* (9th Cir. 2025) 161 F.4th 1162.) Rehearing was denied and the mandate issued; Apple has filed a petition for a writ of certiorari that remains pending.¹

II. Legal Standard

“Trial courts generally have the inherent power to stay proceedings in the interests of justice and to promote judicial efficiency.” (*Freiberg v. City of Mission Viejo* (1995) 33 Cal.App.4th 1484, 1489 (*Freiberg*)). “[W]hen a federal action has been filed covering the same subject matter as involved in the California action, the California court has the discretion but not the obligation to stay the state court action.” (*Caiafa Pro. Law Corp. v. State Farm Fire & Cas. Co.* (1993) 15 Cal. App. 4th 800, 804 (*Caiifa*); see also *Thomson v. Contl. Ins. Co.* (1967) 66 Cal.2d 738, 746.) In exercising its discretion, the Court considers whether a stay will avoid the possibility of conflicting rulings, the importance of avoiding unseemly conflicts with other courts, the relative convenience of the forums, and whether the federal action is pending in California and not some other state. (*Caiafa, supra*, 15 Cal.App.4th at 804; *Farmland Irrigation Co. v. Dopplmaier* (1957) 48 Cal. 2d 208, 215.)

A recurring application of these principles is a stay of a shareholder derivative action pending a parallel securities class action. Because a derivative plaintiff acts in a “fiduciary character” for the corporation (*Cohen v. Beneficial Indus. Loan Corp.* (1949) 337 U.S. 541, 549), and a derivative suit exists “to protect the interests of the corporation” (*Kamen v. Kemper Fin. Servs., Inc.* (1991) 500 U.S. 90, 95), numerous courts have stayed derivative actions where simultaneous prosecution would force the company to take inconsistent positions or risk inconsistent rulings. (See, e.g., *In re STEC, Inc. Deriv. Litig.* (C.D. Cal. 2012) 2012 WL 8978155, 2012 U.S. Dist. LEXIS 189167 (*STEC*); *Cucci v. Edwards* (C.D. Cal. 2007) 2007

¹ Several related actions are pending: *Anguka and City of Hialeah* (Super. Ct. Santa Clara 2025) No. 25CV472876; *Western Fund* (Super. Ct. Santa Clara 2026) No. 26CV491926; *City of Hollywood* (N.D. Cal. 2026) No. 5:26-cv-01724; and *In re Apple Inc. AI Deriv. Litig.* (N.D. Cal. 2025) No. 5:25-cv-05364.)